

Naturally, everyone would like to be the first kind of investor. The trouble is that not too many people have large amounts of capital they can invest and allow to lie more or less fallow for long periods. Also, there aren't many people who can foresee a boom early enough or gauge its duration with sufficient accuracy to take advantage of it.

One man I know correctly anticipated the post-War housing shortage and bought several large apartment houses at comparatively low prices in 1943. In 1950, he was offered 80 percent more than he had paid for the properties.

"I'm going to sell out," he announced to his real estate broker. "I've made a fairly good income on my investment over the last seven years, but I figure I had best take my profit now. I don't believe that property values can possibly go any higher than they are."

"I think you're making a big mistake," the broker cautioned. "If I were you, I'd hold on. Property values will go considerably higher in the next few years. You're going to miss a wonderful opportunity if you sell."

The man ignored his broker's prophetic advice and sold his apartment houses in 1950. He has been regretting his decision ever since. Today, the properties are worth at least three times what he paid for them in 1943.

Many investors have made the same error during the current real estate boom. They sold out prematurely because they were convinced the peak had been reached or that it would be reached within a very short time. They feared the consequences of the bust they were certain would follow. Their reasoning and their fears were based on past experiences or on recollections of the histories of such ill-starred real estate booms as those which drove real property prices into the stratosphere in Florida, California and elsewhere in the 1920s.

I, personally, do not believe there is any similarity between those booms and the one which began at the end of World War Two and is still